

Buy-to-let Mortgage Market Update



Q3 2024

- In Q3 2024 there were 48,862 new buy-to-let loans advanced in the UK, worth £8.6 billion. This was up 6.5 per cent by number (8.9 per cent by value) compared with the same quarter in the previous year.
- The average gross buy-to-let rental yield for the UK in Q3 2024 was 6.93 per cent, compared with 6.53 per cent in the same quarter in the previous year.
- The average interest rate across all new buy-to-let loans in the UK was 5.22 per cent in Q3 2024. This was 0.03 basis points higher than in the previous quarter, but 0.09 basis points lower than in the same quarter of 2023.
- Reflecting the movements in interest rates, the average buy-to-let interest cover ratio (ICR) for the UK in Q3 2024 was 195 per cent, still up from 190 per cent in Q1 2024, and 9 basis points higher than a year previously.
- The number of BTL fixed rate mortgages outstanding in Q3 2024 was 1.4 million, 3.3 per cent up on a year previously. In contrast, the number of variable rate loans outstanding fell by 14.9 per cent to 541,488.
- At the end of Q3 2024 there were 13,000 buy-to-let mortgages in arrears greater than 2.5 per cent of the outstanding balance. This was down 570 from the previous quarter but 19 per cent higher than in the same quarter a year previously.
- There were 710 buy-to-let mortgage possessions taken in Q3 2024. This is unchanged from the previous quarter, but an increase of 73.2 per cent on the same quarter a year previously.

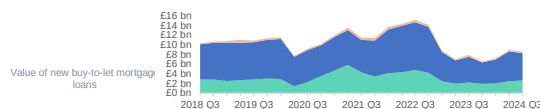
Buy-to-let Mortgage Market Update



UK Finance BTL Mortgage Market Update, 22nd January 2025

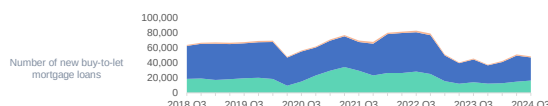
BTL new lending

Value of new BTL lending (UK)



	Latest 2024 Q3	YoY % change
House purchase	£2.6bn	19.8%
Remortgage	£5.7bn	6.5%
Other	£0.3bn	-21.6%
Total	£8.6bn	8.9%

Number of new BTL loans (UK)



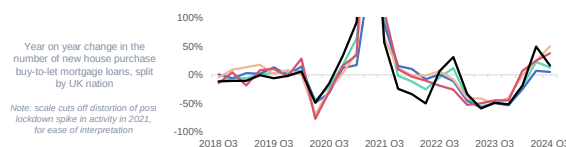
House purchase	16,410	15.5%
Remortgage	30,946	1.7%
Other	1,505	20.1%
Total	48,862	6.5%

Value of new house purchase BTL lending (UK Nations and London)



	Latest 2024 Q3	YoY % change
England	£2,395mn	18.5%
Wales	£67mn	13.0%
Scotland	£131mn	47.0%
Northern Ireland	£36mn	41.3%
London	£634mn	22.6%

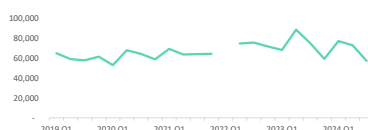
Number of new house purchase BTL loans (UK Nations and London)



England	14,013	12.9%
Wales	590	5.1%
Scotland	1,378	50.1%
Northern Ireland	430	37.6%
London	1,976	16.4%

BTL Product Transfers

Number of BTL Product Transfers



	Latest 2024 Q3	YoY % change
	£57.2bn	-23.9%

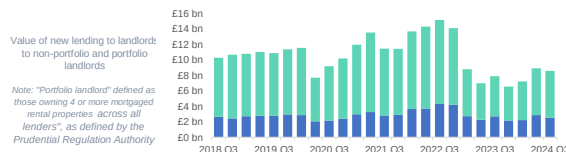
Value of BTL Product Transfers



	Latest 2024 Q3	YoY % change
	£9.6bn	-15.8%

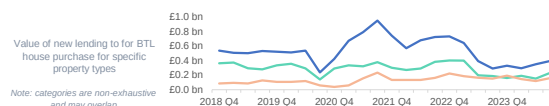
Mortgage characteristics for new lending

Value of total new BTL lending by portfolio size for all loans

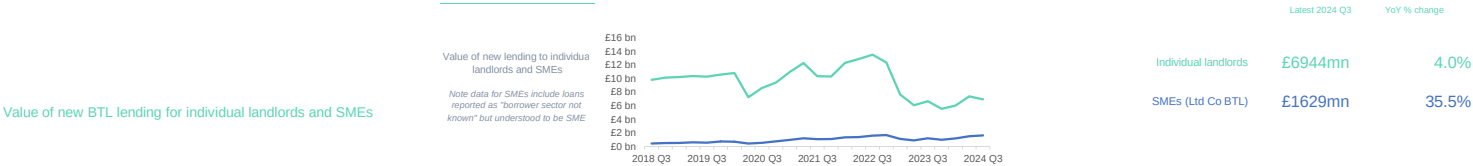


1-3 mortgages (non-portfolio landlord)	£0.0bn	-133.7%
>=4 mortgages (portfolio landlord)	£6.1bn	16.9%

Value of new house purchase BTL lending for specific property types

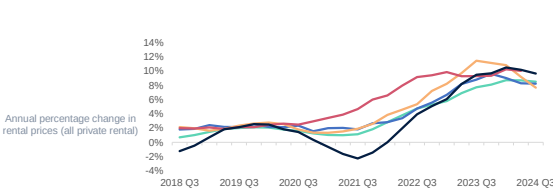


	Latest 2024 Q3	YoY % change
New Build	£176mn	10.0%
Purpose-built flat	£423mn	29.0%
Houses for Multiple Occupation (HMOs)	£153mn	-20.3%



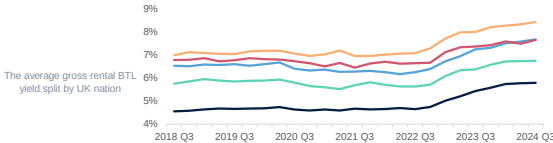
BTL profitability

Private rents (ONS)



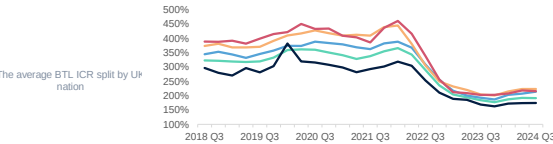
	Latest 2024 Q3	YoY absolute change
England	8.52%	0.79%
Wales	8.26%	-0.56%
Scotland	7.69%	-3.79%
Northern Ireland	10.06%	0.76%
London	9.68%	0.18%

BTL rental yield



England	6.74%	0.37%
Wales	7.66%	0.42%
Scotland	8.42%	0.43%
Northern Ireland	7.64%	0.29%
London	5.79%	0.36%

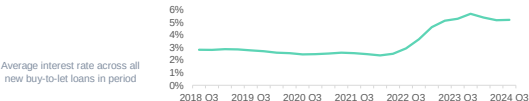
BTL interest cover ratio (ICR)



England	191%	7.15%
Wales	214%	21.41%
Scotland	223%	18.98%
Northern Ireland	216%	13.13%
London	174%	5.24%

BTL Interest Rate

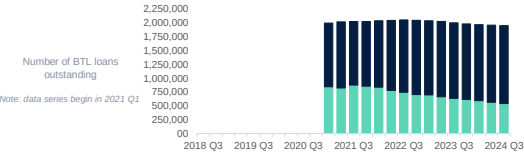
BTL Interest rate (mean)



	Latest 2024 Q3	YoY absolute change
Mean interest rate	5.22%	-0.09%

BTL mortgage stock

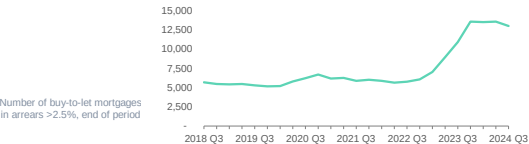
Number of BTL loans by rate type



	Latest 2024 Q3	YoY % change
Fixed rate	1,409,000	3.3%
Variable rate	541,000	-14.9%

BTL arrears and possessions

BTL arrears



	Latest 2024 Q3	YoY % change
Arrears	13,000	19.0%

BTL possessions



	Latest 2024 Q3	YoY % change
Possessions	710	73.2%

UK Finance

Next update: 2 April 2025

UK Finance

Notes:

1. Data series are shown for the last two years where available, or as far back as data exist otherwise.

2. Complete time series for each of these data series are available to UK Finance members that provide the underlying data in each case.

3. Table codes of the relevant industry data table for each data series, where one exists are provided in the right hand column of this dashboard. All data tables are accessible via the industry data tables page of the UK Finance website at <https://www.ukfinance.org.uk/industry-data-tables>.

4. Dashboard is updated on a quarterly basis.

5. Monthly total values of lending may differ between category due to unclassified loans not being included.